

Wiwynn Corp (6669 TT)

 Target price: **TWD8,100.00** (from TWD7,100.00)

 Share price (27 Jul): **TWD5,745.00** | Up/downside: **+41.0%**

 5 4 3 2 **1**
 **Buy**
(unchanged)

2Q26 preview: new CSP AI servers to contribute in 2H27

- New CSP, AMZN and AMD AI servers to offer revenue upside in 2027
- 2Q26 results on track with our prior estimates despite policy changes
- Reaffirming our Buy (1) rating; raising 12-month TP to TWD8,100

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What's new: We raise our estimates and target price as we preview Wiwynn's upcoming 2Q results, which we expect to come in strong.

What's the impact: 2Q26 preview and near-term outlook. We update 2Q26 revenue to TWD278bn (up 1% QoQ and 26% YoY), lower than our prior estimate of 5% QoQ growth, mainly due to Wiwynn's accounting policy change, where memory is now recognised within total sales and BOM costs for regular servers. Also, we expect GM to expand to 8.9% in 2Q26 (vs. 8.2%) due to this accounting policy change. However, we expect 2Q26 operating profit on an absolute basis to be largely on track with our previous estimate. We expect the Trainium 3 ramp-up to proceed faster than our original expectation and Trainium 3 to enter the mass-production phase in 2H26. As we highlight in our [Accton note](#), we lift our Trainium shipment forecast from 2.6m to 3.2m in 2027. This has increased our estimate of the AMZN AI-related revenue contribution to TWD1tn in 2027, implying a rise of c.20% (vs. our prior estimate). We see another potential revenue upside from a shift in product mix to liquid-cooled versions. We now forecast 10-15% of rack shipments to be adopted with liquid-cooled versions over the Trainium 3 lifecycle, with most of this occurring in 1H27.

New growth opportunities. We see new upside from a new CSP ASIC AI server from 2H27 (other than Trainium AI servers). We expect Wiwynn to acquire a 10-15% market share in the L11 process, following the new model launch from 2H27, with rack shipments at 7,500 units. As we forecast ASP of c.USD1m for this new CSP AI server, given the use of an in-house ASIC, we expect this new ASIC project to contribute TWD200bn in 2027 (7% of 2027E sales). Looking into 2028, we expect Wiwynn to experience a full production cycle from 2028 and would deliver 22k ASIC AI server shipments in 2028, with total revenue contribution reaching to c.TWD550bn. On top of the new CSP client, we also raise our forecasts for AMD's Helios shipments to 4k (from 2k)/7.2k (from 3.7k) in 2027/2028, based on supply-chain comments over the past few months. We believe this implies a revenue upside of TWD315bn for Wiwynn in 2027.

What we recommend: We lift our 2026-28E EPS by 3-29% to reflect the higher AMD AI server shipment assumptions and new ASIC AI server contributions from 2027-28. We raise our 12M TP to TWD8,100 (from TWD7,100), based on an unchanged target PER of 18x (the higher end of its past-2-year trading range of 9-21x) applied to our 1-year forward diluted EPS. We reaffirm our Buy (1) rating. Key downside risks: weaker-than-expected server demand and capex from CSPs.

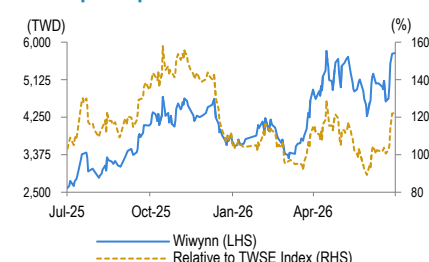
How we differ: Our 2026-28E EPS are 12-36% above street estimates due to our higher regular and AI server shipment assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(5.6)	18.3	34.5
Net profit change	2.7	11.2	29.1
Core EPS (FD) change	2.7	11.2	29.1

Source: Daiwa forecasts

Share price performance



12-month range	2,600.00-5,790.00
Market cap (USDbn)	32.90
3m avg daily turnover (USDm)	323.08
Shares outstanding (m)	186
Major shareholder	Wistron Corp (44.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	1,395,778	2,757,727	4,069,572
Operating profit (m)	95,341	145,200	199,846
Net profit (m)	73,599	110,423	153,046
Core EPS (fully-diluted)	396.031	594.179	823.535
EPS change (%)	44.0	50.0	38.6
Daiwa vs Cons. EPS (%)	11.7	18.4	36.1
PER (x)	14.5	9.7	7.0
Dividend yield (%)	2.7	3.7	5.6
DPS	155.0	210.0	320.0
PBR (x)	6.3	4.4	3.2
EV/EBITDA (x)	10.0	7.2	5.4
ROE (%)	50.1	53.9	53.2

Source: FactSet, Daiwa forecasts

Wiwynn: Daiwa revenue and earnings forecasts revisions vs. consensus

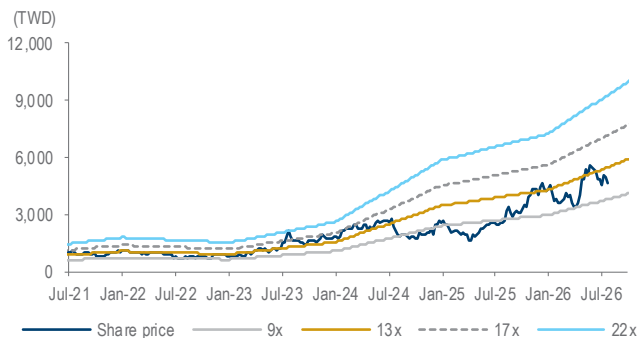
(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	1,478,159	1,395,778	1,295,652	2,330,832	2,757,727	2,094,997	3,026,669	4,069,572	2,577,522
Diff (%)		-5.6%	7.7%		18.3%	31.6%		34.5%	57.9%
Gross Margin (%)	7.8%	8.2%	8.0%	7.0%	6.4%	6.9%	6.5%	6.0%	6.9%
Operating profit	93,502	95,341	84,583	128,937	145,200	119,686	153,611	199,846	145,213
Op Margin (%)	6.3%	6.8%	6.5%	5.5%	5.3%	5.7%	5.1%	4.9%	5.6%
Net profit	71,637	73,599	65,861	99,281	110,423	93,245	118,526	153,046	112,456
EPS (TWD)	385.48	396.03	354.39	534.22	594.18	501.75	637.28	823.53	605.12
Diff (%)		2.7%	11.7%		11.2%	18.4%		29.2%	36.1%

Source: Bloomberg, Daiwa forecasts

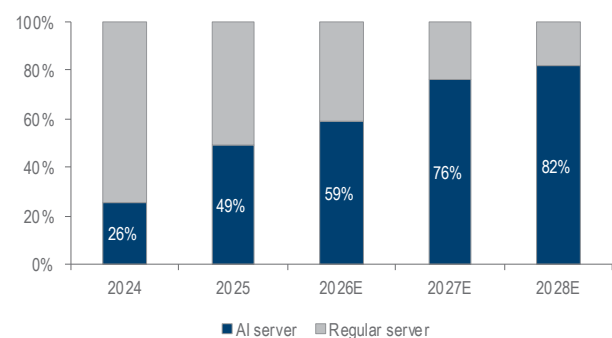
Wiwynn: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	276,508	278,153	408,521	432,596	508,680	604,721	782,179	862,147	950,663	1,395,778	2,757,727	4,069,572
COGS	-255,627	-253,461	-375,073	-397,076	-473,093	-564,765	-733,188	-809,584	-872,209	-1,281,237	-2,580,630	-3,826,106
Gross profit	20,881	24,692	33,448	35,520	35,588	39,955	48,991	52,563	78,454	114,541	177,096	243,467
Operating expenses	-3,423	-4,117	-5,474	-6,186	-6,664	-7,317	-8,604	-9,311	-14,537	-19,200	-31,896	-43,621
Operating profit	17,458	20,575	27,974	29,334	28,924	32,638	40,387	43,252	63,918	95,341	145,200	199,846
Non-operating profit	476	-910	-604	-610	-908	-908	-908	-909	2,135	-1,649	-3,633	-3,633
Pre-tax profit	17,934	19,665	27,370	28,724	28,016	31,730	39,479	42,343	66,052	93,693	141,568	196,213
Income taxes	-3,820	-4,326	-5,830	-6,118	-6,163	-6,981	-8,685	-9,315	-14,934	-20,094	-31,145	-43,167
Net profit	14,114	15,339	21,540	22,606	21,852	24,749	30,794	33,028	51,118	73,599	110,423	153,046
Net EPS (TWD)	75.9	82.5	115.9	121.6	117.6	133.2	165.7	177.7	275.06	396.03	594.18	823.53
Diluted EPS (TWD)	73.5	74.7	96.4	101.2	97.8	110.8	137.8	147.8	266.37	329.35	494.14	684.88
Operating Ratios												
Gross margin	7.6%	8.9%	8.2%	8.2%	7.0%	6.6%	6.3%	6.1%	8.3%	8.2%	6.4%	6.0%
Operating margin	6.3%	7.4%	6.8%	6.8%	5.7%	5.4%	5.2%	5.0%	6.7%	6.8%	5.3%	4.9%
Pre-tax margin	6.5%	7.1%	6.7%	6.6%	5.5%	5.2%	5.0%	4.9%	6.9%	6.7%	5.1%	4.8%
Net margin	5.1%	5.5%	5.3%	5.2%	4.3%	4.1%	3.9%	3.8%	5.4%	5.3%	4.0%	3.8%
YoY (%)												
Net revenue	62%	26%	53%	48%	84%	117%	91%	99%	164%	47%	98%	48%
Gross profit	41%	30%	42%	68%	70%	62%	46%	48%	110%	46%	55%	37%
Operating profit	46%	29%	43%	78%	66%	59%	44%	47%	127%	49%	52%	38%
Pre-tax profit	43%	25%	34%	65%	56%	61%	44%	47%	129%	42%	51%	39%
Net profit	44%	27%	40%	64%	55%	61%	43%	46%	124%	44%	50%	39%
QoQ (%)												
Net revenue	-5%	1%	47%	6%	18%	19%	29%	10%				
Gross profit	-1%	18%	35%	6%	0%	12%	23%	7%				
Operating profit	6%	18%	36%	5%	-1%	13%	24%	7%				
Pre-tax profit	3%	10%	39%	5%	-2%	13%	24%	7%				
Net profit	2%	9%	40%	5%	-3%	13%	24%	7%				

Source: Company, Daiwa forecasts

Wiwynn: 1-year forward PER bands


Source: TEJ, Daiwa forecasts

Wiwynn: AI vs. non-AI server revenue breakdown


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook revenue YoY growth (%)	(8)	60	(27)	44	78	20	16	15
Microsoft revenue YoY growth (%)	13	32	(33)	42	85	17	16	12
Other revenue YoY growth (%)	30	90	59	66	366	73	150	58

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook	96,202	153,625	111,546	160,225	285,308	341,769	396,992	456,035
Microsoft	75,390	99,362	67,067	95,404	176,842	206,746	240,509	268,191
Other Revenue	21,034	39,889	63,288	104,912	488,513	847,264	2,120,226	3,345,346
Total Revenue	192,626	292,876	241,901	360,541	950,663	1,395,778	2,757,727	4,069,572
Other income	0	0	0	0	0	0	0	0
COGS	(177,005)	(268,897)	(219,244)	(323,141)	(872,209)	(1,281,237)	(2,580,630)	(3,826,106)
SG&A	(1,775)	(2,616)	(2,768)	(3,258)	(5,119)	(6,973)	(10,402)	(13,891)
Other op.expenses	(2,459)	(3,529)	(4,019)	(6,044)	(9,418)	(12,226)	(21,494)	(29,729)
Operating profit	11,387	17,834	15,871	28,099	63,918	95,341	145,200	199,846
Net-interest inc./(exp.)	(295)	(726)	(498)	(23)	(2,113)	(3,782)	(3,633)	(3,633)
Assoc/forex/extraord./others	(96)	789	71	755	4,248	2,133	0	0
Pre-tax profit	10,996	17,897	15,444	28,830	66,052	93,693	141,568	196,213
Tax	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(20,094)	(31,145)	(43,167)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	8,648	14,175	12,044	22,776	51,118	73,599	110,423	153,046
Net profit (adjusted)	8,648	14,175	12,044	22,776	51,118	73,599	110,423	153,046
EPS (reported)(TWD)	49.462	81.072	68.884	122.557	275.064	396.031	594.179	823.535
EPS (adjusted)(TWD)	49.462	81.072	68.884	118.682	266.366	329.352	494.138	684.878
EPS (adjusted fully-diluted)(TWD)	49.462	81.072	68.884	122.557	275.064	396.031	594.179	823.535
DPS (TWD)	32.000	25.000	50.000	42.000	74.000	155.000	210.000	320.000
EBIT	11,387	17,834	15,871	28,099	63,918	95,341	145,200	199,846
EBITDA	11,935	18,596	16,873	30,103	66,608	104,014	155,506	212,840

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	10,996	17,897	15,444	28,830	66,052	93,693	141,568	196,213
Depreciation and amortisation	548	762	1,002	2,005	2,690	8,672	10,305	12,994
Tax paid	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(20,094)	(31,145)	(43,167)
Change in working capital	(25,547)	12,998	8,928	(47,806)	(64,430)	(16,097)	(150,773)	(132,239)
Other operational CF items	2,139	2,743	1,087	3,032	9,997	0	(0)	0
Cash flow from operations	(14,212)	30,678	23,060	(19,993)	(624)	66,174	(30,045)	33,801
Capex	(511)	(1,466)	(4,886)	(4,891)	(13,674)	(4,187)	(6,894)	(10,174)
Net (acquisitions)/disposals	(277)	0	0	0	0	0	0	0
Other investing CF items	(252)	(464)	190	(764)	(92)	0	0	0
Cash flow from investing	(1,039)	(1,930)	(4,696)	(5,655)	(13,766)	(4,187)	(6,894)	(10,174)
Change in debt	20,574	(22,561)	1,893	17,885	71,180	(3,724)	0	0
Net share issues/(repurchases)	0	0	0	27,068	0	0	0	0
Dividends paid	(5,595)	(4,371)	(8,742)	(7,343)	(13,752)	(28,805)	(39,027)	(59,469)
Other financing CF items	(124)	751	(265)	(1,294)	(1,240)	0	0	0
Cash flow from financing	14,855	(26,181)	(7,115)	36,316	56,188	(32,529)	(39,027)	(59,469)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(397)	2,567	11,250	10,668	41,797	29,457	(75,966)	(35,842)
Free cash flow	(14,723)	29,212	18,175	(24,884)	(14,299)	61,987	(36,939)	23,627

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	22,673	26,232	37,495	48,329	89,934	119,391	43,426	7,584
Inventory	45,383	36,012	30,179	86,211	136,257	163,398	329,112	487,949
Accounts receivable	13,786	21,327	11,055	38,454	78,942	86,181	170,274	238,600
Other current assets	183	481	467	689	1,844	1,844	1,844	1,844
Total current assets	82,025	84,051	79,195	173,683	306,977	370,815	544,655	735,977
Fixed assets	1,038	2,157	5,626	9,163	20,848	16,364	12,953	10,133
Goodwill & intangibles	99	138	132	174	229	229	229	229
Other non-current assets	1,575	2,493	3,892	7,658	10,135	9,998	9,998	9,998
Total assets	84,737	88,838	88,845	190,679	338,189	397,406	567,835	756,337
Short-term debt	21,266	0	384	1,400	68,473	68,473	68,473	68,473
Accounts payable	18,279	26,465	20,169	53,585	79,366	97,650	196,683	291,607
Other current liabilities	7,621	12,098	15,941	21,379	31,815	28,091	28,091	28,091
Total current liabilities	47,166	38,562	36,494	76,364	179,654	194,214	293,247	388,171
Long-term debt	9,436	9,440	8,443	22,004	27,985	27,985	27,985	27,985
Other non-current liabilities	765	2,049	1,674	4,108	5,898	5,898	5,898	5,898
Total liabilities	57,367	50,051	46,611	102,476	213,537	228,096	327,130	422,054
Share capital	1,748	1,748	1,748	1,858	1,858	1,858	1,858	1,858
Reserves/R.E./others	25,622	37,039	40,486	86,344	122,794	167,451	238,847	332,424
Shareholders' equity	27,370	38,787	42,234	88,203	124,653	169,309	240,705	334,283
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	84,737	88,838	88,845	190,679	338,189	397,406	567,835	756,337
EV	1,075,685	1,050,863	1,038,987	1,042,730	1,074,179	1,044,722	1,120,688	1,156,529
Net debt/(cash)	8,029	(16,792)	(28,668)	(24,925)	6,524	(22,933)	53,032	88,874
BVPS (TWD)	156.543	221.842	241.557	474.615	670.750	911.044	1,295.223	1,798.758

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.0	52.0	(17.4)	49.0	163.7	46.8	97.6	47.6
EBITDA (YoY)	2.6	55.8	(9.3)	78.4	121.3	56.2	49.5	36.9
Operating profit (YoY)	1.3	56.6	(11.0)	77.1	127.5	49.2	52.3	37.6
Net profit (YoY)	0.4	63.9	(15.0)	89.1	124.4	44.0	50.0	38.6
Core EPS (fully-diluted) (YoY)	0.4	63.9	(15.0)	77.9	124.4	44.0	50.0	38.6
Gross-profit margin	8.1	8.2	9.4	10.4	8.3	8.2	6.4	6.0
EBITDA margin	6.2	6.3	7.0	8.3	7.0	7.5	5.6	5.2
Operating-profit margin	5.9	6.1	6.6	7.8	6.7	6.8	5.3	4.9
Net profit margin	4.5	4.8	5.0	6.3	5.4	5.3	4.0	3.8
ROAE	33.3	42.9	29.7	34.9	48.0	50.1	53.9	53.2
ROAA	12.4	16.3	13.6	16.3	19.3	20.0	22.9	23.1
ROCE	24.5	33.6	32.0	34.5	38.4	39.2	48.2	52.0
ROIC	38.0	49.2	69.6	57.8	50.9	54.0	51.5	43.5
Net debt to equity	29.3	n.a.	n.a.	n.a.	5.2	n.a.	22.0	26.6
Effective tax rate	21.4	20.8	22.0	21.0	22.6	21.4	22.0	22.0
Accounts receivable (days)	22.2	21.9	24.4	25.1	22.5	21.6	17.0	18.3
Current ratio (x)	1.7	2.2	2.2	2.3	1.7	1.9	1.9	1.9
Net interest cover (x)	38.7	24.6	31.9	1,215.1	30.3	25.2	40.0	55.0
Net dividend payout	65.0	50.5	61.7	61.0	60.4	56.4	53.0	53.9
Free cash flow yield	n.a.	2.7	1.7	n.a.	n.a.	5.8	n.a.	2.2

Source: FactSet, Daiwa forecasts

Company profile

Established in 2012 and listed in 2019, Wiwynn (a subsidiary of Wistron Corp) is a dedicated ODM-direct supplier of servers for hyperscale datacentres, with major customers including Facebook, Microsoft, and Amazon. Aside from hyperscaler customers, the company is expanding its target markets to what it terms "Next Wave" customers, including tier-2 cloud service providers and telecom operators, which could bring growth opportunities related to edge computing and open RAN.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	2 Wiwynn plans to have seven to nine directors on its board who will serve three-year terms in accordance with the Article of Incorporation in Taiwan. Currently, Wiwynn has 9 board members with four independent directors. The background of independent directors is diversified and their competence includes technology, business management, and law. We deem the diversified background as a positive factor for the company's board quality. Wiwynn held 8 board meetings in 2024 and the average attendee rate was 100%. The Chairman does not serve concurrently as the President or CEO, which we think is a positive for board and executive management as well as external shareholder interest.
	Capital management	2 Wiwynn declared DPS of TWD42 in 2024, representing a payout ratio at 61.0%. We note that investors favour its high dividend payout ratio policy and we see its asset-light business model as a major reason for this high payout ratio. Wiwynn outsources the motherboard-level servers to its parent company, Wistron, while it only focuses on the design and assembly of rack-level servers under clients' request. With the server market still in the high growth period, we expect the favourable dividend policy to be sustained going forward.
	Related party & transaction	3 In 2024, revenue from related parties accounted for 0.0% of total revenue, while purchases from related parties were 40.4% of cost of sales. The main purchase counterparty is Wistron (3231 TT; Wiwynn's parent company). While Wiwynn is a professional assembly vendor for rack-level servers, it relies on its parent company's manufacturing capability to produce the server motherboard. It sources the motherboards directly from its parent company and assembles them at the rack-level at its own production base. This business model causes high frequency and value of transactions with related parties. Indeed, we are concerned whether Wistron collects fair manufacturing fees from Wiwynn. As the company does not disclose enough information, we are not able to assess this concern.
S	Supply chain management	1 Wiwynn focuses on providing various products and system solutions for hyperscale datacentres and cloud infrastructures. There are over 100 suppliers providing key components, electronic materials, and mechanical materials in Wiwynn's supply chain. For the new joiners that target to penetrate into Wiwynn's supply chain, Wiwynn has formed the "Supplier Evaluation Group" to conduct: 1) supplier management and supply capabilities evaluation, 2) technical capability development assessment, and 3) partner quality assurance (these include mainly topics undertaken by RBA, such as no child labour, no conflict minerals, no use of environmentally hazardous substances, etc.). New suppliers are also required to be ISO9001, ISO14001, IECQ QC 080000, and OHSAS 18001 (ISO 45001) qualified. Wiwynn has strong supply chain risk management by conducting audits regularly. Apart from considering the technical skills, quality date, delivery dates and price completeness of suppliers, Wiwynn audits its suppliers to endeavour to protect the environment, ensure safety and health of the environment, and emphasise the importance of human rights, based on Wiwynn's CSR Management System.
S	Data security	2 To serve world-class cloud service providers, Wiwynn has been constantly improving its information security management. Employees are educated on the protection of the product, technology, and information privacy of customers. In response to the global trends in data protection laws that tend to strengthen the security of classified information, Wiwynn has mandated that all assigned PCs have the Windows Bitlocker HDD encryption activated to avoid classified data being accessed without permission. In 2020, it also introduced Multi-Factor Authentication (MFA). Beyond the security measures for hardware, the company controls access to office, labs, and conference room in a robust manner to prevent theft of the hardware.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 26 Feb 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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